My thought experiment might be extreme, but it serves to make the point that you can't just willy-nilly buy pricey growth stocks and expect to come up with 100-baggers.

Another trap is that earnings alone has many limitations. Heiserman shows the following:

1. Earnings omits investment in *fixed capital*, so when capital expenditures are greater than depreciation, the net cash drain is excluded.
2. Earnings omits investment in working capital, so when receivables and inventory grow faster than payables and accrued expenses, the net cash drain is excluded.
3. *Intangible growth-producing initiatives* such as R&D, promo/advertising and employee education are expenses (i.e., not investments), even though the benefits will last for several accounting periods.
4. *Stockholders' equity* is free even though owners have an opportunity cost. (In other words, companies can spend $50 to create $1 in earnings. If all you look at is earnings per share, then you will ignore the cost to generate those earnings.)

The point here is you can't focus on earnings alone.

I don't want to get into the ins and outs of accounting and security analysis in this book. For one thing, there are plenty of basic books that will teach you why the above is true. Phelps recommended Benjamin Graham and David Dodd's *Security Analysis* for those who want a textbook on security analysis. And 43 years later, that recommendation is still a good one.

But secondly, the quest for 100-baggers isn't about security analysis per se.

Conceptual power is more important. There is no amount of security analysis that is going to tell you a stock can be a 100-bagger. It takes vision and imagination and a forward-looking view into what a business can achieve and how big it can get. Investing is a reductionist art, and he who can boil things down to the essential wins.

What security analysis can do is weed out the duds — those companies that don't create value even though they show great growth